TRADE IDEA

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STRATEGY & ECONOMICS

EM rates: Receive 1y1y TWD NDIRS

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KEY MESSAGES

We initiate a 1y1y TWD NDIRS receiver as we consider market-implied tightening excessive – especially when we see 12.5bp cut from the CBC this year.

The central bank looks likely to remain cautious to support Taiwan's K-shaped recovery, and the limited spill-over from tech-driven growth leads us to view reflation risk as relatively modest.

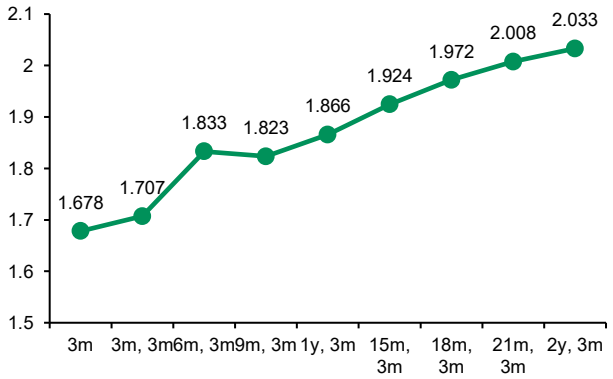
The curve offers a solid buffer for the receiver, in our view, with an attractive carry/roll of 3–4bp/quarter.

We remain cautious on the long end given the lingering risk of hedging flows from project-financing activities.

Market pricing of CBC easing would likely require turmoil arising from either a significant US tariff on chips or a sharp risk-off episode in AI equities.

Trade idea: Receive H27-1y TWD NDIRS at 1.984% in USD20k/DV01. Target: 1.80%. Stop: 2.10%. Carry and roll: 4.69bp per quarter.

Fig. 1: Market has implied 20bp hikes in 2026 and 17bp in 2027



Sources: Bloomberg, BNP Paribas

Taiwan rates have been bid up by the stellar growth (consensus GDP growth expectations are 7.1% for 2025 and 3.8% for 2026), AI boom, a regional reflation theme, and systematic flows. As a result, the market now prices in 20bp tightening in 2026 and 17bp in 2027, whereas we forecast a 12.5bp cut in Q3 to be followed by a hold through 2027 (*South Korea and Taiwan: the 2026 policy rate pathway*, dated 7 January).

Consequently, we view the current front end as attractive to receive alongside lucrative carry/roll profile. We see three key reasons why the front end could rally from here.

- **Dovish CBC bias:** Contrary to the hawkish tone the market had anticipated, Governor Yang adopted a dovish stance at CBC's December meeting. He emphasized that inflation risk remains tilted to the downside because the extraordinary growth is heavily concentrated in a single sector, making a broad-based demand rebound unlikely.

  Moreover, the (labor-intensive) non-tech sectors remain subject to 20% tariff from the US, reinforcing the CBC's accommodative stance. This aligns with its policy stance in September, when it remained on hold steady while maintaining ample liquidity (*Taiwan: Policy in a good place, with dovish rhetoric*, dated 19 December 2025).

  All in, we believe the CBC does not intend to hike under current conditions and projections. Its outlook that GDP growth momentum will weaken in H2 suggests it will not move ahead of the curve (i.e. hike before inflation rises above 2%, if any).

- **Modest domestic demand:** We largely concur with the CBC's assessment that the K-shaped economy will not generate a broad inflation rebound, as growth remains confined to the tech sector. Even with robust headline growth, spill-over effects are limited – retail sales stay sluggish (Figure 2) and credit growth is moderating (Figure 3), largely due to the CBC's credit policy curbing mortgage lending. Domestic demand in Taiwan typically tracks the housing market (Figure 4), implying a strong rebound is unlikely. Hence, we view reflation risk in Taiwan as relatively mild.

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- **Attractive carry profile:** With front-end rates largely derived from the 3m TAIBOR (1.678%), we see the carry/roll offering an attractive opportunity to receive Taiwan rates up to 2y (average 3–4bp per quarter) .

Caution on long end: Compared with the front end, we take a neutral stance on the long end because lingering wind-farm hedging flows could lift the curve. Recent local reports of progress on corporate power-purchase agreements indicate fewer obstacles for offshore windfarm development (see *Newtalk*, dated 23 December 2025, Chinese only), which might encourage more project financing hedging flows in coming quarters.

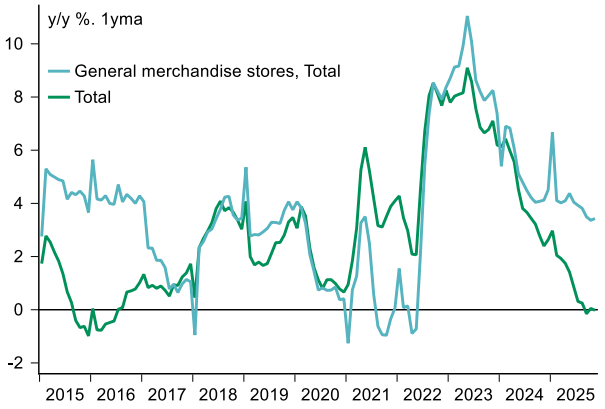
Turmoil required for market to price in easing: Given the strong growth narrative and persistent AI enthusiasm, we expect it will be difficult for the market to push front-end rates down to a level that reflects monetary easing as of now. For that reason, we have not set a target level below 3m TAIBOR. Nonetheless, a few residual risks could push rates lower quickly:

- a significant US chip tariff arising from a Section 232 investigation; and
- a sharp risk-off in US and Asian equities, especially those concentrated on AI.

Received TWD rates position will also serve as a risk-off hedge to our other paid positions like SORA 3y and RBA Feb/May spread.

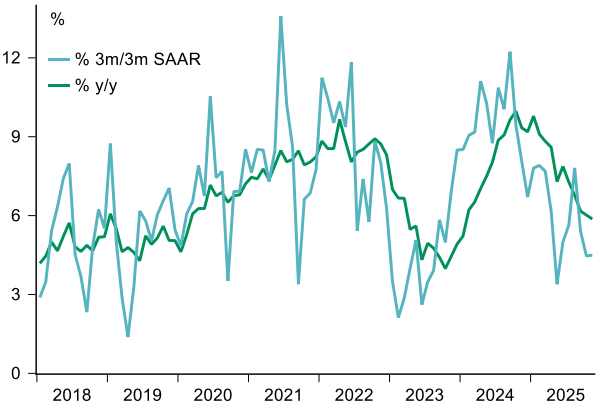
Trade idea: Receive H27-1y TWD NDIRS at 1.984% in USD20k/DV01. Target: 1.80%. Stop: 2.10%. Carry and roll: 4.69bp per quarter.

Fig. 2: Retail sales have stayed sluggish despite of stellar GDP growth



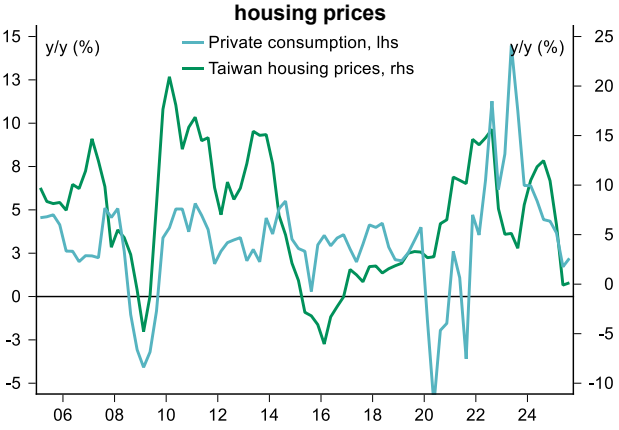
Sources: Taiwan MEA, BNP Paribas

Fig. 3: Credit growth is also moderating



Sources: CBC, BNP Paribas

Fig. 4: Private consumption usually goes along with housing prices



Sources: DGBAS, Sinyi Real Estate, BNP Paribas

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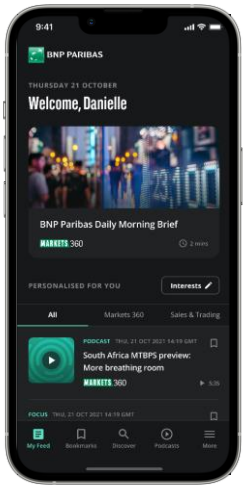

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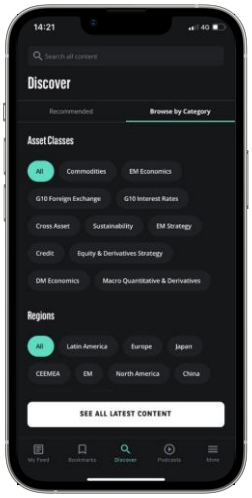

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